



Qualification Programme Examination Panelist's Report

Module 7 – Financial Management (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This was the third cohort to take the new QP Module 7 Examination. There were ten multiple choice questions that tested basic knowledge of both financial management and managerial accounting fields.

In general, candidates performed significantly better in Section A compared to Section B.

Specific Comments

Less than half of the candidates were able to correctly answer the question related to the current yield computation of coupon bonds.

Furthermore, many candidates did not appear to master the key concept of application of the dividend growth model to reach the required rate of return.

(II) Section B – Written Questions

General Comments

There were four case questions in Section B incorporating fundamental knowledge in finance and managerial accounting. Performance on Question 3 was satisfactory, with the question covering financial ratios computation and financial performance evaluation.

In general, candidates' performance was less satisfactory in applying financial assets valuation. Candidates' performance was weakest on Question 2, which required candidates to calculate the firm value by making use of the discounted cash flow technique and the price-to-earnings ("P/E") ratio approach.

Question 4(a) was another poorly attempted question, as only a few candidates were able to obtain the correct answer of the dividend growth model for computing the cost of common stock. Candidates are advised to familiarise themselves with the dividend growth model, which is one of the most popular stock valuation models in the finance area.



Specific Comments

Question 1(a) – 6 Marks

This question required candidates to identify and explain factors affecting pricing policies of the company.

This part was well attempted as most candidates managed to provide a number of relevant factors affecting pricing policies.

Question 1(b) – 2 Marks

This question required candidates to calculate the unit cost of the salad box sold.

Few candidates were able to compute the answer correctly by excluding the sunk cost into the computation.

Question 1(c) – 6 Marks

This question required candidates to identify the pricing strategy adopted and explain the benefit of this pricing strategy.

Most candidates did not state the correct name of the pricing strategy, "market penetration", but were able to address certain key points to elaborate the benefit of this pricing strategy, such as boosting market sales or market share.

Question 1(d) – 6 Marks

This question required candidates to explain the rationale for providing the free green workshops and site visit activities to the public, and to describe any associated pricing strategies to promote the products or increase sales during these free activities.

Most candidates failed to indicate one of the popular rationales, "corporate social responsibility"; on the other hand, many candidates accurately listed promotion and advertisement.

Question 2(a) – 13 Marks

This question required candidates to calculate free cash flow for Year 3 and the firm value of the wine company.

This was a common and basic knowledge application type question that tested candidates on their knowledge of the discounted cash flow technique for firm valuation. The question specified clearly that a company's value should be equal to the present value of all the future free cash flows generated from the assets. However, quite disappointingly, none of the candidates were able to reach the correct free cash flows and thus the firm value.



Candidates are thus kindly reminded of the importance of the discounted cash flow concept, which is the most fundamental key concept in finance for assets valuation.

Question 2(b) – 3 Marks

This question required candidates to compute the firm value using the P/E ratio approach.

P/E ratio is another popular approach for firm valuation, but only a few candidates were able to reach the correct answer.

Question 2(c) – 4 Marks

This question required candidates to advise on any other non-financial considerations for investment appraisal.

Performance on this question was poor. Many either answered the question too broadly or did not answer any of the points.

Question 3(a) – 5 Marks

This question required candidates to calculate some missing financial ratios for the two given companies, Vertex and Peak.

Performance on this question was satisfactory, with most candidates having received full marks.

Question 3(b)(i) – 1 Mark

This question required candidates to analyse the financial performances of the two companies in the liquidity aspect.

Overall, performance was satisfactory, as most candidates were able to state that Vertex was in a better liquidity position.

Question 3(b)(ii) – 2 Marks

This question required candidates to analyse the financial performances of the two companies in respect of asset management efficiency.

Performance on this question was relatively poor, as most candidates failed to understand the implications behind shorter days' receivables and higher inventory turnover.

Question 3(b)(iii) – 3 Marks

This question required candidates to analyse the financial performances of the two companies in terms of leverage.



Most candidates were able to state that Vertex had more debt financing, but very few stated that Vertex was able to fulfil its interest obligation.

Question 3(b)(iv) – 2 Marks

This question required candidates to analyse the financial performances of the two companies related to profitability.

Half of the candidates were able to tell Vertex was in a better profitability position than Peak.

Question 3(c) – 5 Marks

This question required candidates to analyse the ROE of both companies using the DuPont formula and explain which company should have a better ROE and which one should be exposed to higher financial risks.

Performance was unsatisfactory. Most candidates did not provide the requested DuPont formula to analyse the ROE.

Question 3(d) – 2 Marks

This question required candidates to advise and explain which company should be acquired by comparing the overall financial performances of the two given companies.

Most candidates advised correctly which company should be acquired.

Question 4(a) – 8 Marks

This question required candidates to calculate the cost of common stock, cost of preferred stock, and pre-tax cost of debt.

Performance was not satisfactory. Only a few candidates correctly calculated the cost of common stock using the dividend growth model. Candidates are advised to familiarise themselves with the dividend growth model, which is one of the most popular stock valuation models in the finance area.

Question 4(b) – 5 Marks

Following the previous part, this question required candidates to calculate the weighted average cost of capital ("WACC") of the company.

Performance on this question was not satisfactory, as only a few candidates correctly calculated the WACC.



Question 4(c) – 5 Marks

This question required candidates to calculate the net present values ("NPV") for both Projects A and B and identify which project the company should choose.

Most candidates were able to apply the NPV formula correctly for both projects.

Question 4(d) – 2 Marks

This question required candidates to explain whether the internal rate of return ("IRR") should be larger or smaller than the WACC for both Projects A and B.

Performance was unsatisfactory, as most candidates did not understand the relationship between IRR and NPV.

(III) Conclusion and Recommendation

As mentioned in Question 2 above, candidates are reminded to master the most fundamental and key concepts in finance in order to apply the discounted cash flow technique into the assets valuation.

In addition, candidates are also strongly advised to familiarise themselves with the dividend growth model, which is one of the most popular stock valuation models in the finance area, as mentioned in Question 4 above.